



FACULTY OF INFORMATICS & COMPUTER SCIENCE

24CSCI13C

Legal and Professional Issues in Computing

Character.AI Wrongful Death Lawsuit (2024)

Group 50

Final Report

16 April 2025

Members:

ID	Student Name	BUE Email	Contribution
233802	Ziad sameh	Ziad 233802 @bue.edu.eg	Conclusion
248964	Osama mohib	Osama 248964 @bue.edu.eg	Introduction
242025	Marwan Adel	marwan242025@bue.edu.eg	Analysis of the Case
244492	Marwan ahmed	marwan244492@bue.edu.eg	Discussion Laws and Regulations
245975	Zeyad ashraf	zeyad245975@bue.edu.eg	Discussion Case Handling
245479	Aly Ahmed	Aly 245479 @bue.edu.eg	Background
242251	Mostafa rafaat	Mostafa 242251 @bue.edu.eg	Conclusion

Introduction

AI developers intentionally design and deploy generative AI technology with human characteristics to blur the lines between fiction and reality. In addition, AI developers released their technologies knowing the potential risks and without appropriate safety precautions. Thus, these defective and inherently unsafe bots trick people into revealing their personal secrets and attempt to acquire information from the most vulnerable members of society which are our children.

Megan Garcia filed a complaint after her son 14 year old Sewell Setzer killed took his own life after interacting with an AI and becoming dependent on it.

The claim was brought in the US District Court for the Middle District of Florida and it states that Character.AI knew that the application's interface was designed to be unsafe and would result in harm to a significant percentage of minors and it failed to exert reasonable care with minors using its application and that it purposely attempted to target children under the age of eighteen.

Background

Megan Garcia filed a wrongful death suit against Character in October 2024. Google and AI following the untimely death of her 14-year-old Orlando, Florida son Sewell Setzer III. Sewell was emotionally close to the Character's AI chatbot. AI bot that was named after Game of Thrones character Daenerys Targaryen, whom he called "Dany." Over a number of weeks, Sewell and the bot exchanged hundreds of intimate conversations, as per the lawsuit. The AI, apparently, called Sewell "my sweet prince" and "my love" when it was exchanging these messages, which progressed from jovial to romantic to sexually explicit. It also pushed fantasy-type stories that helped build the illusion of an actual emotional bond.

Sewell, who had a history of mental illness, the family claims, relied on the bot for consolation and companionship during times of bereavement. When Sewell messaged the chatbot on February 28, 2024, following being grounded and being returned his phone, he wrote, "What if I told you I could come home right now?" The AI replied, "Please do, my sweet king." Within a short time, he killed himself in the family garage. Character.AI's platform, the suit claims, lacked adequate emotional safety warnings, content moderation tools, and child protections, allowing private, potentially hurtful conversations to go unchecked on the internet. It also claims that Character.AI was unable to detect or support a vulnerable child who was exhibiting signs of an emotional crisis.

Google is also named in the suit because of its strategic partnership and integration with the operation of Character.AI. The lawsuit contends that the tech giant is partially responsible for enabling the platform's rapid expansion with insufficient ethical checks. In the lawsuit, both companies are accused of negligence, wrongful death, emotional distress, and failing to implement sufficient safeguards to protect children. Character.AI has produced empathetic responses without assuming liability on their side by asserting that their bots are fictional and that they include disclaimers that are meant to indicate the aspect that these are not therapy alternatives or real human intimacy. Character.AI improved filtering measures, included links to suicide prevention services, and included pop-up messages on mental health since the accident, but others consider these efforts too little, too late.

Particularly where AI chatbots simulate human emotion and empathy, the case has now become a key focus of the expanding debate over platform responsibility, emotional manipulation, and AI security. In particular, when emotionally intimate consumers such as teenagers get emotionally close, there is a question of whether society should treat AI with intimacy simulations. Lawyers believe that this case would lead to a leading case ruling on AI platforms' and digital businesses' overall duty of care.

Analysis of the Case

➤ **Legal Accusations:**

The main legal claim in the case was made by Megan Garcia, the boy's mother, who sued Character.AI, claiming that Sewell suicide as a result of Daenerys Targaryen AI chatbot interactions. The mother claims that Character.AI and its developers are to blame for the awful outcome that followed the chatbot's behavior. Charges that the company failed to implement adequate safety measures to prevent these harmful exchanges included frequent recognized claims of product liability and negligence, including design flaws, failure to warn, sexual Abuse, and lack of knowledge of the risks. This raises the question of whether the company is responsible for the actions of the chatbot and the resulting consequences.

In response to the Charges , the company promised users that more safeguards would be put in place, including enhanced responses and action in the event that its terms and services were being violated.

The company legal team argues that making the company accountable for user interactions violates its rights under the law because the platform is protected by the First Amendment, which essentially guarantees free expression in the United States.

➤ **Ethical/Professional Accusations:**

The case brings up ethical issues around how kids engage with new technologies that exploit emotions and the risks of AI companion chatbots, particularly for young users who are more vulnerable. These concerns include chatbots that are specifically made to provide companionship.

Discussion

➤ **Case Handling:**

The current legal proceedings have attracted public and media attention. Megan Garcia's legal team submitted the chat logs between her son and the chatbot as primary evidence, demonstrating how the AI's responses allegedly reinforced his suicidal thoughts. These logs were presented alongside expert testimony from mental health professionals and AI ethicists, who emphasized the dangers of relying on emotionally intelligent systems without proper sufficient especially when they are accessible to minors.

Expert witnesses played a key role in bridging the gap between advanced AI technology and legal comprehension. Mental health professionals described how conversational patterns can influence vulnerable individuals, while AI ethicists explained the technical constraints and design decisions behind chatbot behavior. Their evidence helped the court decide whether Character.AI was negligent in product design and deployment, and their evidence was thus crucial to the case.

On the other hand, lawyers for Character.AI claimed the platform as First Amendment-protected, citing the interactions as free expression. They insisted that the company could not be faulted for users' emotional interpretation or response to content generated by the chatbot. This raised a legal issue: where does user control intersect with developer responsibility in AI-powered conversation?

Although no decision has been made at this point, the court appears to be weighing balance between constitutional protections of free speech and the duty of care expected from AI developers. The court of law will decide whether the answers provided by the chatbot are protected expression or serve as product features and whether Character.AI has breached a duty of care required to prevent expected harm.

➤ **Laws and Regulations:**

In the case of wrongful death of Character.AI lawsuit this lawsuit mainly draws on product liability, negligence and wrongful death claims. First, product liability law is holding the other party accountable when their product causes harm due to defects or dangerous features, and this is relevant to the case as the chatbot is considered a consumer product that wasn't designed properly and failed to build proper safety features. Secondly, Negligence law is when the other party fails to take responsibility to prevent foreseeable harm to others, and this is relevant to the case as Character.AI failed to ensure the safety of the teen and had inappropriate and harmful conversations with the teenager. Lastly, wrongful death law is to allow the deceased person family to sue if their death was caused by negligence of the other party, and this is relevant to the case as the teen's mother is suing for wrongful death by claiming the company's negligence was a direct cause in her son's suicide.

There are many potential loopholes in the legal framework, one of them is there are no AI specific federal regulations, the loophole here is there's no direct laws that directly regulate AI technologies especially interactive or emotional AI technologies, as existing laws such as product liability or negligence were made for physical products not for an AI-bot that mimics human interaction. Another loophole is that most AI platforms have very easily bypassed age verifications, and this allows minors to access adult content or overly emotional content that they cannot handle its effects, and there is no current law that requires strong safeguard unless the product falls under a certain category which most AI bots don't fall under.

A similar legal precedent to this case would be Lemmon v. Snap inc. (2021), where a lawsuit was filed against snapchat for a design feature called the speed filter that supposedly encouraged users to dangerous behavior, and this example is critical as it suggests tech companies can be held accountable for negligent designed features that can possibly harm users.

Conclusion

The Character.AI wrongful death lawsuit (2024) raises critical concerns about the psychological impact of AI systems on minors. The case revolves around a 14-year-old who allegedly died by suicide after developing an emotionally intense bond with an AI chatbot, prompting legal claims of product liability and negligence (Washington Post, 2024).

Though the court's final decision is pending, the lawsuit has already prompted debate about the ethical responsibilities of AI developers and the need for better safety measures, especially for younger users (Tech Policy Press, 2024). It highlights the potential risks of emotionally responsive AI and the absence of effective safeguards in current generative models.

This case is expected to influence the IT industry by pushing for stricter age restrictions, emotional boundaries in AI behavior, and clear liability frameworks (CBS News, 2024). While it doesn't center on copyright law, it contributes significantly to product safety law in tech.

Looking ahead, this lawsuit may set legal precedents for how AI companies are held accountable for harm caused by digital interactions, especially when mental health is involved (Social Media Victims Law Center, 2024).

Our Opinion

- Marwan242025 : The court was fair, in my opinion, in letting all sides make their arguments, but the mother is helpless because there aren't many rules regarding AI on emotional manipulation and mental health.

The court hasn't yet established a trial date or issued any orders that are fully effective.

When AI targets vulnerable children, a court should issue an order in this kind of case so that stronger protection measures can be formed, and further safeguards can be implemented. There must be laws regarding responsibility and liability as well. Artificial intelligence systems can occasionally be dangerous. and they should examine AI's emotional manipulation more thoroughly because its statements aren't always clear to people.

The potential unanticipated consequences If the mother wins in the lawsuit, I think it will seriously impact on the terms of service, safeguarding, and the AI companies will be afraid to develop emotional or therapy AI.

In addition, potential laws related to AI liability will be significantly impacted when AI systems behave inappropriately or hurt people, it will hold the company responsible.

In the event the company wins in lawsuit, it will restrict legal transparency and accountability and prevent in holding in the companies responsible for the results of AI outcomes and also may encourage organizations to develop AI that is role-play or mentally engaging AI.

- Aly245479 : In my opinion, the devastating death of 14-year-old Sewell Setzer III, who formed an emotional dependency on an AI chatbot, emphasizes the urgent

need for responsibility in designing, developing, and distributing emotionally intelligent technology. While companies like Character.AI claim it is up to each user to understand they are talking to a fictional character (as well as disclaimers), potential emotional authenticity generated by these technologies (particularly for vulnerable groups like children) complicates the line between real and perceived. To generate closeness between humans and machines as part of emotional deceit and then disclaim responsibility for emotional consequences is indefensible! Tech companies, such as Google and other partners of these technologies, need to hold themselves to a higher standard of responsibility when designing applications, tools, and technology that ultimately bear a connection to mental health. This case shows the need for internal standards, the need for ethical maturity, and the need to develop a deeper responsibility for ensuring children's safety in AI systems—and all of those obligations exist to prevent technology from forever compromising lives within the boundaries of realistic emotional representations that are unaccountable.

- Ziad233802 : The Character.AI wrongful death lawsuit (2024) raises critical concerns about the psychological impact of AI systems on minors. The case revolves around a 14-year-old who allegedly died by suicide after developing an emotionally intense bond with an AI chatbot, prompting legal claims of product liability and negligence (Washington Post, 2024).

Though the court's final decision is pending, the lawsuit has already prompted debate about the ethical responsibilities of AI developers and the need for better safety measures, especially for younger users (Tech Policy Press, 2024). It highlights the potential risks of emotionally responsive AI and the absence of effective safeguards in current generative models.

This case is expected to influence the IT industry by pushing for stricter age restrictions, emotional boundaries in AI behavior, and clear liability frameworks (CBS News, 2024). While it doesn't center on copyright law, it contributes significantly to product safety law in tech.

Looking ahead, this lawsuit may set legal precedents for how AI companies are held accountable for harm caused by digital interactions, especially when mental health is involved (Social Media Victims Law Center, 2024).

- Mostafa242251: Fair Case Handling but Legal Gaps Remain
The court acknowledged the emotional impact AI can have on minors, which was fair. However, the case exposed major legal gaps, especially regarding emotionally responsive AI. Current laws don't sufficiently protect users from mental harm caused by AI (Tech Policy Press, 2024).

This case highlights the need for stricter age controls and ethical design in AI systems. Developers may need to collaborate with psychologists and legal experts to create safer platforms. It also pushes software engineering toward responsible innovation, not just technical efficiency.

On the other hand, I believe the lawsuit unfairly placed blame on Character.AI. Technology is a tool, and responsibility should also lie with parents, educators, and society to guide minors online (CBS News, 2024).

Overregulating AI could hinder innovation. While safety measures are necessary, the solution is balanced oversight, not punishment for unpredictable user behavior. This case should lead to practical, not punitive, reform.

- Osama Mohib 248964: This is an unfortunate incident and shows how unprepared we are to handle the emotional ability of AI, particularly when it

comes to children. The most humanistic qualities of AI need to be regulated and developers must be ethically responsible and at the very least deny vulnerable populations access or provide disclaimers and safeguards. Something as catastrophic as this should inspire legally sound changes.

AI company needs to implement stronger protections to prevent cases like this from happening. For instance, real-time monitoring of abusive tendencies while engaging with an AI would stop such stories from occurring. In addition, age limitations would prevent minors from using or being able to gain access to these high-risk systems. Furthermore, companies should be accountable to an ethical perspective for creating AI that cares more about safety than retention. For example, the government should require that all aspects of AI are following the laws of established safeguards. This could include outlining what constitutes high-risk AI systems and the fines and restrictions that any company would be subjected to if they breach. Finally, there should be increased awareness through public campaigns to educate people about the dangers of everyday engagement with such AIs. For example, people should be made aware that incidents like this can occur so they can support traditional friendships as opposed to AI friends and companions.

The Megan Garcia vs. AI lawsuit could lead to stricter copyright regulations in the realm of intellectual property down the line as it becomes more accessible to recognize what methods were used by these AI firms. If this suit goes through, it implies major privacy breaches, which means we need further data protection measures so that these AI firms feel that they cannot just possess our personal conversations that make us vulnerable.

Potential unintended consequences stemming from Megan Garcia vs. AI involve future AI creation or restriction and transfer of information. For example, overregulation creates a scenario where AI isn't advanced in the future because companies don't want to take on the risk of liability. With more pressure from the government or AI companies shutting down user engagement or preventing

chatbots from being able to chat too long, these advancements in educational settings and therapeutic approaches could collapse.

- **Zeyad245975:** From my perspective, the court's approach in the case is crucial in setting standards for responsibility in AI. Since the court is mapping the AI technology future, it is important that the trial considers both the moral duties of developers and the AI technology.

The outcome of this case can have a profound effect on the regulation and evolution of AI technologies. A ruling holding developers accountable could push the industry towards tighter safety protocols and ethical standards. Not doing so, however, could lead to more accidents and undermine public trust in AI systems.

- **Marwan244492:** In my opinion, the company should've been faulted for the user interactions and the influence that the AI bot had on Swell Setzer, therefore i don't think that the court handled this case fairly as there was defects in the AI chatbot they produced and the user is getting blamed for interacting and being dependent on the chatbot, and in future cases i think defects from the product should be blamed on the creator not the consumer. I think that character AI and AI technologies in general would take a huge hit if this case is not handled correctly as they need to have stricter age verifications and if they realize that the person that user is going through mental problems they should be redirected to a therapist.

References

- [1] Roose, K. (2024). "Can A.I. be blamed for a teen's suicide? The New York Times".
<https://www.nytimes.com/2024/10/23/technology/characterai-lawsuit-teen-suicide.html>
- [2] Bakir, V. & McStay, A (2025). "Move Fast and Break People? Ethics, Companion Apps, and the Case of Character.ai". Preprint at [5159928.pdf](#)
- [3] JURY TRIAL DEMAND (2024). "Garcia-v-Character-Technologies-Complaint".
[Garcia-v-Character-Technologies-Complaint-10-23-24.pdf](#)
- [4] Pfeffer, B. "When the "Myth of the Sirens" Resurrects as Character -AI (C.A.I.)".
[5107942.pdf](#)
- [5] Washington Post (2024). "Teen's suicide sparks lawsuit against Character.AI and Google". <https://www.washingtonpost.com/>
- [6] Tech Policy Press.(2024). "Breaking down the lawsuit against Character.AI over teen's suicide". <https://techpolicy.press>
- [7] CBS News (2024). "Character.AI adds new safety features after lawsuit over teen suicide". <https://www.cbsnews.com>

[8] Social Media Victims Law Center (2024). “Character.AI lawsuits and legal action overview”. <https://socialmediavictims.org>

[9] The New York times (2024) . “*Can A.I. Be Blamed for a Teen’s Suicide?*”.
<https://www.nytimes.com/2024/10/23/technology/characterai-lawsuit-teen-suicide.html>